

January 30, 2013

Japan Exchange Group, Inc. and Consolidated Subsidiaries

Consolidated financial results for nine months ended December 31, 2012, unaudited

Company name: **Japan Exchange Group, Inc.**
(Previous: Tokyo Stock Exchange Group, Inc.)
Code number: 8697 URL: <http://www.jpx.co.jp/en/index.html>
Stock Exchange Listings: Tokyo, Osaka
Representative: Atsushi Saito, Director & Representative Executive Officer, Group CEO
Contact: Akira Tagaya, Director, Corporate Communications
Scheduled date of filing of quarterly report: February 13, 2013
Scheduled date of start of dividend payment: —
Preparation of 3Q earnings presentation material: Yes
Holding of 3Q earnings announcement: None

1. Consolidated Financial Results for nine months ended December 31, 2012 (April 1, 2012 to December 31, 2012)

(Figures less than a million yen are omitted)

(1) Operating results

(Percentages represent year-on-year change)

	Operating revenue		Operating income		Ordinary income		Net income	
	million yen	%	million yen	%	million yen	%	million yen	%
Nine months ended December 31, 2012	45,935	—	10,652	—	12,705	—	7,313	—
Nine months ended December 31, 2011	—	—	—	—	—	—	—	—

(Note)

Comprehensive income:

Nine months ended December 31, 2012: ¥ 8,508 million / —%

Nine months ended December 31, 2011: ¥ — million / —%

	Net income per share	Diluted net income per share
	yen	yen
Nine months ended December 31, 2012	3,216.57	—
Nine months ended December 31, 2011	—	—

*The Company acquired 66.67% of shares of Osaka Securities Exchange Co., Ltd. through a tender offer, and the company became a consolidated subsidiary. Profit or loss of said company is included from this consolidated third quarter accounting period (meaning the three months from October 1, 2012 to December 31, 2012).

(2) Financial position

	Total assets	Total net assets	Equity capital ratio
	million yen	million yen	%
As of December 31, 2012	917,583	152,324	14.2
As of March 31, 2012	—	—	—

(Reference)

Shareholders' equity:

As of December 31, 2012: ¥ 130,693 million As of March 31, 2012: ¥ — million

(Note) Clearing deposit money, etc. based on various rules which secure the safety of securities trading, etc. are recorded as TSE group's assets and liabilities. Clearing deposit money, etc. are large in amount and fluctuate daily and, as a result, the above amounts are significantly impacted by such fluctuations.

2. Dividends

	Dividend per share				
	First quarter	Second quarter	Third quarter	Fiscal year end	Annual
	yen	yen	yen	yen	yen
Year ended March 31, 2012	—	—	—	—	—
Year ending March 31, 2013	—	—	—		
Year ending March 31, 2013(Forecast)				70.00	70.00

(Note)

Change in dividend forecasts from the most recent announcement: Yes

3. Forecast for the Fiscal Year ending March 31, 2013 (April 1, 2012 to March 31, 2013)

(Percentages represent year-on-year change)

	Operating revenue		Operating income		Ordinary income		Net income		Net income per share
	million yen	%	million yen	%	million yen	%	million yen	%	yen
For Year ending March 31, 2013	67,500	—	15,500	—	17,500	—	9,500	—	280.39

(Note)

Change in performance forecasts from the most recent announcement: Yes

* Net income per share is calculated based on the average number of shares outstanding (33,881,156 shares (tentative)) during the period from April 1, 2012 to March 31, 2013. The net income per share is 173.02 yen, calculated based upon the average number of shares outstanding (54,906,910 shares (tentative)) after the launch of Japan Exchange Group, Inc. during the period from January 1, 2013 to March 31, 2013.

* Notes

(1) Changes in significant subsidiaries during the period: Yes

Newly included:

2 companies (company names) Osaka Securities Exchange Co., Ltd.

New Osaka Securities Exchange Preparatory Corporation

(2) Adoption of peculiar accounting methods for quarterly consolidated financial statements: Yes

(3) Changes in accounting policies / changes in accounting estimates / restatements

1) Changes pursuant to revision of accounting policies: None

2) Changes other than the above: Yes

3) Changes in accounting estimates: Yes

4) Restatements: None

(4) Number of issued shares (common stock)

1) Number of issued (or outstanding) shares at the end of the period (including treasury shares):

As of December 31, 2012: 2,300,000 shares

As of March 31, 2012: 2,300,000 shares

2) Number of treasury shares at the end of period:

As of December 31, 2012: 26,260 shares

As of March 31, 2012: 26,260 shares

3) Average number of shares:

Nine months ended December 31, 2012: 2,273,740 shares

Nine months ended December 31, 2011: 2,273,740 shares

*Disclosure regarding the execution of the quarterly review process

This release is outside the scope of the external auditor's quarterly review procedure which is required by "Financial Instruments and Exchange Act". Therefore, the quarterly review process has not been completed as of this disclosure in this release.

*Explanation of appropriate use of forecast and other special items

This material contains earnings forecast and other forward-looking statements which are based on available information and certain assumptions that are considered reasonable at the time of preparation. Various factors may cause actual results, etc. to be materially different from those expressed in these forward-looking statements.

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(Appendix)

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1. QUALITATIVE INFORMATION ON OPERATING RESULTS DURING THE CURRENT QUARTER

(1) Qualitative Information on Consolidated Operating Results

Tokyo Stock Exchange Group, Inc. (hereinafter "the Company") acquired shares of Osaka Securities Exchange Co., Ltd. (hereinafter "OSE") through a tender offer, and OSE became a consolidated subsidiary. Subsequently, on January 1, 2013, a merger was conducted, through which Japan Exchange Group, Inc. was established. Due to said merger, in accordance with the Accounting Standards for Business Combinations, the consolidated financial statements of the TSE group (the Company, consolidated subsidiaries, and affiliated companies accounted for using the equity method) shall be incorporated into the consolidated financial statements of Japan Exchange Group, Inc. As such, this earnings report contains the consolidated results of the TSE group during the consolidated cumulative third quarter (meaning the nine months from April 1, 2012 to December 31, 2012). In addition, due to the deemed date of acquisition of OSE by the Company being September 30, 2012, the consolidated results of the TSE group during the consolidated cumulative third quarter includes the profit/loss of OSE only for the three months from October 1, 2012 to December 31, 2012.

The consolidated results of the TSE group during the consolidated cumulative third quarter were operating revenue of ¥45,935 million, operating expenses of ¥35,283 million, operating income of ¥10,652 million, and ordinary income of ¥12,705 million.

Due to including financial advisor compensation in relation to the merger, etc. as extraordinary losses, income before income taxes and minority interest was ¥12,032 million, and net income was ¥7,313 million.

(2) Qualitative Information on Consolidated Financial Position

(Assets, liabilities and equity)

Clearing deposit money, etc. (margin funds for derivatives and when-issued transactions, deposits for clearing funds, and deposits as collateral for facilitating settlement), legal guarantee funds, deposits received as trading participants security money, and default compensation reserve funds, all of which hedges risks of securities trading based on various rules, are recorded as assets and liabilities. Out of these assets and liabilities, clearing deposit money, etc. are large in amount and fluctuate daily in line with clearing participants' positions and stock price movements, and, as a result, the amounts of TSE group's assets and liabilities are significantly impacted by fluctuations in these clearing funds, etc.

Total assets as of the end of the consolidated third quarter accounting period (December 31, 2012) were ¥917,583 million. Excluding clearing deposit money, etc., legal guarantee funds, and default compensation reserve funds, assets were ¥251,502 million.

Total liabilities as of the end of the consolidated third quarter accounting period (December 31, 2012) were ¥765,259 million. Excluding clearing deposit money, etc., legal guarantee funds, and deposits received as trading participants security money, liabilities were ¥123,917 million.

Total net assets as of the end of the consolidated third quarter accounting period (December 31, 2012) were ¥152,324 million. In addition, after excluding default compensation reserve funds, total net assets were ¥124,375 million.

<Reference>

	Total assets	Total net assets	Equity capital ratio
	million yen	million yen	%
As of December 31, 2012	917,583	152,324	14.2
	*1) 251,502	*2) 124,375	*3) 40.9

(Notes)

- 1) Figures marked "*1)" under "Total assets" exclude "Margin funds for derivatives and when-issued transactions", "Deposits for clearing funds", "Deposits as collateral for facilitating settlement", "Legal guarantee funds", and "Special assets for default compensation reserve funds".
- 2) Figures marked "*2)" under "Total net assets" exclude "Default compensation reserve funds".
- 3) Figures marked "*3)" under "Equity capital ratio" are calculated excluding "Margin funds for derivatives and when-issued transactions", "Deposits for clearing funds", "Deposits as collateral for facilitating settlement", "Legal guarantee funds",

and “Special assets for default compensation reserve funds” from total assets, and excluding “Default compensation reserve funds” from total net assets.

(3) Qualitative Information on Consolidated Earnings Forecast and Dividend Forecast

(i) Consolidated Earnings Forecast

The consolidated earnings forecast of Japan Exchange Group, Inc. was revised following a review, as below, of the trading volumes and values that are the assumptions of the forecast figures.

This consolidated earnings forecast is based on the assumptions that the daily average trading values and volumes are ¥1.4 trillion for stocks*, 40,000 contracts for 10-year JGB futures, 67,000 contracts for TOPIX futures, 147,000 contracts for Nikkei 225 futures (including mini contract trading volume converted to large-sized contracts), and ¥22.0 billion for Nikkei 225 options.

*The trading value of stocks listed on the First Section, the Second Section, and Mothers markets of Tokyo Stock Exchange, as well as the First Section, the Second Section, and JASDAQ markets of OSE.

(ii) Dividend Forecast

The dividend payout ratio of Japan Exchange Group, Inc. is targeted at approximately 40% based on our policy of stable and continuous dividend payment, giving due consideration to the importance of internal reserves for system development aimed at enhancing competitiveness and self-regulatory functions as an exchange, and for provision against risks as a clearing organization.

In line with the abovementioned policy, the dividend for the fiscal year ending March 2013 was planned to be 50 yen per share. Due to an expected increase in net income from this consolidated earnings forecast revision, the dividend forecast has been revised to 70 yen per share.

2. OTHER INFORMATION

(1) Adoption of peculiar accounting methods for quarterly consolidated financial statements

(Calculation of income tax expense)

The Company's consolidated subsidiary, OSE adopts a method whereby it obtains a reasonable estimate of the effective tax rate after applying tax effect accounting to income before income taxes for the fiscal year ending March 31, 2013, and calculates the amount of income taxes by multiplying the income before income taxes for the nine months ended December 31, 2012 by such effective tax rate.

(2) Changes in accounting policies / Changes in accounting estimates / Restatements

i. Changes in accounting policies

In connection with business combination with OSE, TSE group reviewed the following accounting policies and changed them accordingly from the consolidated first quarter accounting period.

(Change in depreciation method for property and equipment)

The TSE group's depreciation method for property and equipment was previously based on the application of the declining-balance method (the straight-line method was applied to buildings (excluding facilities accompanying buildings) acquired on or after April 1, 1998). From the consolidated first quarter accounting period, the TSE group changed the depreciation method to the straight-line method.

This change was determined based on the following two main reasons.

- (i) Software makes up a large part of the hardware and software of the systems which are integrally managed and operated. Changing the depreciation method for hardware, which is property and equipment, to the straight-line method that is used for software is in line with the actual situation of use.
- (ii) The cost pertaining to maintenance and repair of property and equipment is generally incurred equally in each period of use. Adopting the straight-line method for leveling in periods allocated for depreciation costs leads to calculation that better reflects the financial situation for the period.

Due to this, in comparison with the previous method, operating income for the consolidated cumulative third quarter increased ¥462 million, and ordinary income and income before income taxes and minority interests increased ¥469 million respectively.

(Change in method for valuation of securities)

The TSE group's method for valuation of securities (available-for-sale securities without fair value) was previously based on the weighted-average method. From the consolidated first quarter accounting period, the TSE group changed the valuation method to the moving-average method which allows timely calculation of the cost of securities sold. The change in this accounting policy is applied retroactively.

There is no effect due to this change.

ii. Changes in accounting estimates

In the consolidated first quarter accounting period, Japan Securities Depository Center, Inc., an affiliated company, conducted a review of the useful life of the fixed assets whose period of use became shorter due to the decision to activate the new system.

In addition, Tokyo Stock Exchange, Inc., a consolidated subsidiary, conducted a review of the useful life of the fixed assets whose period of use became shorter due to the decision to transfer to the new system in the consolidated third quarter accounting period.

Due to this, operating income decreased ¥136 million and ordinary income and income before income taxes and minority interests decreased ¥200 million respectively during the consolidated cumulative third quarter in comparison with those calculated by the previous method.

In addition, OSE and New Osaka Securities Exchange Preparatory Corporation are not included in changes in accounting policies / changes in accounting estimates / restatements for the consolidated cumulative third quarter.

3. CONSOLIDATED FINANCIAL STATEMENTS

(1) Consolidated Balance Sheets

(millions of yen)

As of December 31, 2012

Assets	
Current assets	
Cash and deposits	107,072
Operating accounts receivable	7,851
Work in process	2,444
Margin funds for derivatives and when-issued transactions	539,087
Deposits for clearing funds	88,426
Deposits as collateral for facilitating settlement	10,000
Other	3,089
Allowance for doubtful accounts	(10)
Total current assets	757,960
Noncurrent assets	
Property, plant and equipment	10,441
Intangible assets	
Goodwill	48,470
Other	25,284
Total intangible assets	73,755
Investments and other assets	
Investment securities	36,245
Legal guarantee funds	618
Special assets for default compensation reserve funds	27,948
Other	10,791
Allowance for doubtful accounts	(177)
Total investments and other assets	75,425
Total noncurrent assets	159,622
Total assets	917,583

(millions of yen)

As of December 31, 2012

Liabilities	
Current liabilities	
Operating accounts payable	2,934
Short-term loans payable	18,870
Current portion of long-term loans payable	86,399
Income taxes payable	1,811
Provision for bonuses	425
Provision for directors' bonuses	48
Margin funds received for derivatives and when-issued transactions	539,087
Deposits received for clearing funds	88,426
Deposits received as collateral for facilitating settlement	10,000
Deposits received as trading participants security money	3,209
Other	2,709
Total current liabilities	753,922
Noncurrent liabilities	
Long-term loans payable	0
Provision for retirement benefits	7,502
Returnable legal guarantee funds	618
Other	3,215
Total noncurrent liabilities	11,336
Total liabilities	765,259
Net assets	
Shareholders' equity	
Capital stock	11,500
Capital surplus	25,358
Retained earnings	92,586
Treasury stock	(4,332)
Total shareholders' equity	125,112
Accumulated other comprehensive income	
Valuation difference on available-for-sale securities	5,580
Total accumulated other comprehensive income	5,580
Minority interests	21,630
Total net assets	152,324
Total liabilities and net assets	917,583

(2) Consolidated Statements of Income and Consolidated Statements of Comprehensive Income
(Consolidated Statements of Income)

(millions of yen)

	Nine months ended December 31, 2012
Operating revenue	
Trading participant fees	17,854
Listing fees	6,431
Income from information services	9,024
Income from securities settlement	6,478
Other	6,145
Total operating revenue	45,935
Operating expenses	
Personal expenses	9,039
Rent expenses on real estates	4,250
System maintenance & operation costs	5,865
Depreciation	7,101
Other	9,026
Total operating expenses	35,283
Operating income	10,652
Non-operating income	
Interest income	192
Dividends income	778
Equity in earnings of affiliates	822
Other	360
Total non-operating income	2,154
Non-operating expenses	
Interest expenses	77
Other	23
Total non-operating expenses	101
Ordinary income	12,705
Extraordinary loss	
Business integration costs	672
Total extraordinary losses	672
Income before income taxes and minority interests	12,032
Income taxes	4,230
Income before minority interests	7,801
Minority interests in income	488
Net income	7,313

(Consolidated Statements of Comprehensive Income)
(millions of yen)

Nine months ended December 31, 2012	
Income before minority interests	7,801
Other comprehensive income	
Valuation difference on available-for-sale securities	706
Share of other comprehensive income of associates accounted for using equity	0
Total other comprehensive income	706
Comprehensive income	8,508
Comprehensive income attributable to	
Comprehensive income attributable to owners of the parent	8,020
Comprehensive income attributable to minority interests	488

(Reference Translation)

(3) Note on Going-Concern Assumption
Not applicable

(4) Material changes in shareholders' equity
Not applicable

<Reference 1> Supplementary material

The profit/loss of Tokyo Stock Exchange Group, Inc. (hereinafter "the Company") for the previous consolidated cumulative third quarter and the profit/loss for this consolidated cumulative third quarter are included as supplementary material.

The Company acquired shares of Osaka Securities Exchange Co., Ltd. (hereinafter "OSE") through a tender offer, and OSE became a consolidated subsidiary. Due to the deemed date of acquisition of OSE by the Company being September 30, 2012, the consolidated results of the TSE group during the consolidated cumulative third quarter includes the profit/loss of OSE only for the three months from October 1, 2012 to December 31, 2012.

Consolidated Statements of Income of Tokyo Stock Exchange Group, Inc.

	Nine months ended December 31, 2011	Nine months ended December 31, 2012	Change in amounts	Change in percentages
	millions of yen	millions of yen	millions of yen	%
Operating revenue	39,094	45,935	6,841	17.5
Trading participant fees	14,584	17,854	3,270	22.4
Listing fees	5,506	6,431	924	16.8
Income from information services	8,347	9,024	677	8.1
Income from securities settlement	4,960	6,478	1,518	30.6
Other	5,695	6,145	450	7.9
Operating expenses	33,104	35,283	2,178	6.6
Personal expenses	8,538	9,039	500	5.9
Rent expenses on real estates	4,004	4,250	245	6.1
System maintenance & operation costs	4,349	5,865	1,516	34.9
Depreciation	8,547	7,101	(1,446)	(16.9)
Other	7,664	9,026	1,362	17.8
Operating income	5,989	10,652	4,662	77.9
Non-operating income	1,595	2,154	559	35.1
Interest income	84	192	108	127.7
Dividends income	744	778	33	4.5
Equity in earnings of affiliates	723	822	99	13.7
Other	42	360	318	749.2
Non-operating expenses	56	101	44	78.1
Interest expenses	39	77	37	94.7
Other	17	23	6	39.4
Ordinary income	7,527	12,705	5,178	68.8
Extraordinary income	—	—	—	—
Extraordinary loss	0	672	672	—
Income before income taxes and minority interests	7,527	12,032	4,505	59.9
Income taxes	3,301	4,230	929	28.2
Minority interests in income	(93)	488	582	—
Net income	4,320	7,313	2,993	69.3

1. QUALITATIVE INFORMATION ON OPERATING RESULTS DURING THE CURRENT QUARTER

(1) Qualitative Information on Consolidated Operating Results

With respect to the consolidated operating results of the TSE group (the Company, consolidated subsidiaries and affiliated companies accounted for using the equity method) during the consolidated cumulative third quarter (meaning the nine months from April 1, 2012 to December 31, 2012; hereinafter the same), operating revenue rose to ¥45,935million (17.5% increase from the same period of last year (i.e. year-on-year)), operating expenses rose to ¥35,283 million (6.6% increase), operating income rose to 10,652 million (77.9% increase) and ordinary income rose to ¥12,705 million (68.8% increase) due to an increase in revenue from trading participant fees and listing-related revenue, as well as the inclusion of OSE as a consolidated subsidiary.

Due to including financial advisor compensation in relation to the merger, etc, as extraordinary losses, income before income taxes and minority interests was ¥12,032 million (59.9% increase), and net income was ¥7,313 million(69.3% increase).

<Reference>

	Nine months ended December 31, 2011		Nine months ended December 31, 2012	
		As of December 31, 2011		As of December 31, 2012
TOPIX	706.08 points ~874.34 points	728.61 points	695.51 points ~859.80 points	859.80 points
Market capitalization*	¥247,501.3 billion ~¥303,530.4 billion	¥255,855.3 billion	¥244,661.9 billion ~¥300,797.1 billion	¥300,797.1 billion
Nikkei 225	¥8,160.01 ~¥10,137.73	¥8,455.35	¥8,295.63 ~¥10,395.18	¥10,395.18

* Market capitalization of the TSE 1st Section, 2nd Section and Mothers.

(Operating revenue)

1) Trading participant fees

Trading participant fees comprise "Basic Fees" based on the types of the trading participant's trading qualification, "Transaction Fees" based on the value of securities traded or volume of derivatives traded, "Access Fees" based on the number of orders, and "Trading System Facilities Usage Fees" based on the types of trading system facilities used.

Trading participant fees for this consolidated cumulative third quarter increased 22.4% to ¥17,854 million from the same period of last year due to factors such as a year-on-year increase in revenues from TOPIX futures and 10-year JGB futures, as well as the inclusion of revenues from Nikkei 225 futures, etc. as a result of OSE becoming a consolidated subsidiary.

Breakdown of trading participant fees

(millions of yen)

	Nine months ended December 31, 2011	Nine months ended December 31, 2012	
			Change (%)
Trading participant fees	14,584	17,854	22.4
Basic fees	637	754	18.4
Transaction fees	10,812	13,142	21.5
Cash equities	8,713	9,010	3.4
TSE market	8,713	8,392	(3.7)
OSE market	—	618	—
Derivatives	2,099	4,131	96.8
TOPIX futures	1,020	1,074	5.3
Nikkei 225 futures	—	814	—
Nikkei 225 options	—	825	—
10-year JGB futures	971	1,268	30.6
Others	107	148	38.4
Access fees	1,959	2,518	28.5
Trading system facilities Usage fees	1,157	1,399	20.9
Others	17	39	123.8

<Reference>

Equities trading value and derivatives trading volume or value

	Daily average			Total		
	Nine months ended December 31, 2011	Nine months ended December 31, 2012	Change (%)	Nine months ended December 31, 2011	Nine months ended December 31, 2012	Change (%)
【Cash equities】						
TSE 1 st Section, 2 nd Section (¥millions)	1,255,456	1,190,904	(5.1)	232,259,370	222,699,121	(4.1)
OSE 1 st Section, 2 nd Section (¥millions)	37,096	25,787	(30.5)	6,862,734	4,822,081	(29.7)
TSE Mothers (¥millions)	16,343	13,103	(19.8)	3,023,493	2,450,294	(19.0)
OSE JASDAQ (¥millions)	20,240	20,170	(0.3)	3,744,312	3,771,741	0.7
【Derivatives】						
TOPIX futures (contracts)	57,028	61,572	8.0	10,550,087	11,513,979	9.1
Mini TOPIX futures (contracts)	2,404	8,740	263.6	444,793	1,634,389	267.4
Nikkei 225 futures (contracts)	70,866	78,365	10.6	13,110,184	14,654,312	11.8
Nikkei 225 mini (contracts)	447,209	530,765	18.7	82,733,703	99,253,031	20.0
Nikkei 225 options (millions)	17,311	18,693	8.0	3,202,481	3,495,546	9.2
10-year JGB futures (contracts)	27,769	36,326	30.8	5,137,286	6,793,008	32.2

2) Listing fees

Listing fees comprise the "Initial/Additional Listing Fees" that are received based on the issue amount when a company initially lists or when a listed company issues additional shares, and "Annual Listing Fees" received from listed companies based on their market capitalization.

Due to an increase in the number of newly listed companies and amount of funds raised by listed companies, listing fees for the consolidated cumulative third quarter increased 16.8% year-on-year to ¥6,431 million.

Breakdown of listing fees

(millions of yen)

	Nine months ended December 31, 2011	Nine months ended December 31, 2012	
			Change (%)
Listing fees	5,506	6,431	16.8
Initial/Additional listing fees	1,482	2,068	39.5
Annual listing fees	4,024	4,363	8.4

<Reference>

Number of listed companies, ETFs, ETNs and REITs

(Company)

	New listed companies			Total listed companies		
	Nine months ended December 31, 2011	Nine months ended December 31, 2012	Change	As of December 31, 2011	As of December 31, 2012	Change
【TSE market】 TSE 1 st and 2 nd Sections	26 *2) 8	32 *2) 8	6 *2) 0	2,112	2,118	6
Mothers	10 *2) 0	20 *2) 0	10 *2) 0	178	182	4
Total	36 *2) 8	52 *2) 8	16 *2) 0	2,290	2,300	10
【OSE market】 OSE 1 st and 2 nd Sections *1)	1 *2) 1	0 *2) 0	(1) *2) (1)	206	199	(7)
JASDAQ *1)	15 *2) 2	14 *2) 2	(1) *2) 0	955	913	(42)
Total	16 *2) 3	14 *2) 2	(2) *2) (1)	1,161	1,112	(49)

(Issue)

	New listed issues			Total listed issues		
	Nine months ended December 31, 2011	Nine months ended December 31, 2012	Change	As of December 31, 2011	As of December 31, 2012	Change
【TSE market】 ETFs	5	5	0	106	113	7
ETNs	10	0	(10)	10	10	0
REITs	0 *2) 0	4 *2) 0	4 *2) 0	34	37	3
【OSE market】 ETFs	1	2	1	17	19	2

(Note)

*1) Companies that are also listed on the TSE Market are excluded.

*2) Figures marked "*2)" indicate the number of newly listed companies and newly listed issues, representing companies established and issues newly listed as a result of mergers and stock transfers (technical listings).

Fund raising by listed companies

	Nine months ended December 31, 2011	(millions of yen)	
		Nine months ended December 31, 2012	Change (%)
【TSE market】 Financing by listed companies	919,303	1,915,636	108.4

(Note) Total amount of fund-raising via shareholder allotments, public offerings (including initial public offerings), third-party allotments, preferred stocks, and convertible bonds exercise and stock options.

3) Income from information services

Income from information services is comprised of income related to the provision of corporate action information and various other information, primarily consisting of fees for market information provided to information vendors (market information fees), and also income related to the index business.

During the consolidated cumulative third quarter, income from information services increased 8.1% year-on-year to ¥9,024 million due to including OSE as a consolidated subsidiary.

4) Income from securities settlement

Income from securities settlement is derived from settlement commissions related to the assumption of financial instrument obligations carried out by Japan Securities Clearing Corporation and OSE.

During the consolidated cumulative third quarter, income from securities settlement increased significantly by 30.6% year-on-year to ¥6,478 million, due to new income from clearing fees derived from clearing services for yen-denominated interest rate swaps provided by Japan Securities Clearing Corporation, following the commencement of such services on October 9, 2012.

5) Other operating revenue

Other operating revenue consists of "network line usage fees", "Co-location Usage Fees", "Proximity Usage Fees", and fees for system development and operations provided by TOSHO SYSTEM SERVICE CO., LTD. "Network line usage fees" related to use of the networks which connect TSE's and OSE's trading systems, market information systems, etc. to trading participants and users. "Co-location Usage Fees" are those for using the service which allows trading participants to place their devices, etc. within the TSE system center for the purpose of accelerating trade execution, etc. "Proximity Usage Fees" are those for using the proximity service which diversifies connectivity to domestic and foreign markets, and can be used by trading participants and market-related parties, such as information vendors.

During the consolidated cumulative third quarter, other operating revenue increased 7.9% year-on-year to ¥6,145 million, due to including OSE as a consolidated subsidiary.

Breakdown of other operating revenue

	Nine months ended December 31, 2011	(millions of yen)	
		Nine months ended December 31, 2012	Change (%)
Other operating revenue	5,695	6,145	7.9
Network line usage fees	1,847	2,144	16.1
Co-location Usage Fees, Proximity Usage Fees	944	1,260	33.5
Other	2,903	2,740	(5.6)

(Operating expenses)

Due to including OSE as a consolidated subsidiary, personal expenses for the consolidated cumulative third quarter increased 5.9% year-on-year to ¥9,039 million.

Rent expenses on real estates are primarily rental fees for the Tokyo Stock Exchange building, the Osaka Securities Exchange building and for system development and operational facilities. Due to including OSE as a consolidated subsidiary, rent expenses on real estates for the consolidated cumulative third quarter increased 6.1% year-on-year to ¥4,250 million.

System maintenance & operation costs consist of maintenance and operation costs for arrowhead and other systems. Due to including OSE as a consolidated subsidiary, these costs for the consolidated cumulative third quarter increased 34.9% year-on-year to ¥5,865 million.

Depreciation for the consolidated cumulative third quarter decreased significantly by 16.9% to ¥7,101 million due to factors such as the disposal of the previous systems in tandem with the migration of futures trading to the Tdex+ System being recorded in the same period of last year.

Other operating expenses for the consolidated cumulative third quarter increased 17.8% year-on-year to ¥9,026 million due to including amortization of goodwill regarding tender offer, as well as inclusion of OSE as a consolidated subsidiary.

<Reference 2>

Profit and Loss Statements of Osaka Securities Exchange Co., Ltd.

	Nine months ended December 31, 2011	Nine months ended December 31, 2012	Change in amounts	Change in percentages
	millions of yen	millions of yen	millions of yen	%
Operating revenue	16,634	16,659	25	0.2
Selling, General and Administrative expenses	10,550	11,364	814	7.7
Operating income	6,083	5,294	(789)	(13.0)
Non-operating income	735	409	(325)	(44.3)
Non-operating expenses	21	11	(10)	(48.8)
Ordinary income	6,797	5,693	(1,104)	(16.2)
Extraordinary income	20	26	5	25.3
Extraordinary loss	—	451	451	—
Income before income taxes	6,818	5,267	(1,550)	(22.7)
Income taxes	2,791	2,012	(779)	(27.9)
Net income	4,026	3,255	(770)	(19.1)

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